STANDARD MANUAL ON THE MANAGEMENT OF FINANCIAL AND MATERIAL RESOURCES FOR CHIPUNGA FARMS LIMITED.

This Manual is approved by the Board of Directors of CHIPUNGA FARMS LIMITED

2021

This manual will be effective from 26th February, 2021

OVERALL OBJECTIVE

The goal of this manual is to establish the basic rules, clear systems and sound procedures for the management of financial and material resources within Chipunga Farms Limited . These rules, systems and procedures will provide the Board of Governors, the Management Team and the Departmental Managers with relevant information to manage the resources of the company and assist in decision-making.

Specific objectives

The objectives are to:

- Describe accounting and financial policies which Chipunga Farms Limited would follow
- Provide a source of reference for Chipunga Farms Limited on a day to day basis and action as necessary
- Describe procedures to be followed in managing and controlling the financial and material resources
- Provide a ready source of training to both old and new staff.
- Provide framework for reporting
- Document the roles and responsibilities of various functions

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1. SECTION ONE: INTRODUCTION

1.1. The finance office of Chipunga Farms Limited ("the Company") shall be responsible for all the administration of all financial transactions of Chipunga Farms Limited. Which include: Budgeting and budgetary controls, Control over income, Control over expenditure, Control over assets, recording procedures, financial reporting and financial audits.

1.2. The Company shall operate to ensure sound financial management which implies that proper internal mechanisms are established. All job descriptions for all staff involved with financial transactions should be put in place with defined authorization levels.

1.3. Financial Year

- 1.3.1. The financial year is from 1 January to 31 December
- 1.3.2. To facilitate the closing of the books all the financial transactions will be finalized by 15th December of each year
- 1.3.3. The Budget Year is identical with the Financial Year

1.4. The Company attaches great importance to the financial function. This consists essentially of:

- 1.4.1. Budgeting and budgetary controls
- 1.4.2. Control over income
- 1.4.3. Control over expenditure
- 1.4.4. Control over assets
- 1.4.5. Recording procedures
- 1.4.6. Financial reporting
- 1.4.7. Financial audits

1.5. Operation of sound financial management at the management implies:

- 5.1.1 The designed internal control mechanisms providing checks and balances
- 5.1.2 Defined authorization of transactions are adhered to.

1.6. Stewardship and accountability, shall be the core value of Finance office by:

- 1.6.1. Ensuring that resources at its disposal are used with care and a high sense of responsibility.
- 1.6.2. Ensuring that all designated funds be deployed to only the services for which they are intended.
- 1.6.3. Honesty and integrity are basic essential qualities demanded of all personnel dealing with finance.
- 1.6.4. Transparent, accurate recording and reporting of financial transactions, with full disclosure and clear explanations are basic accountability requirements.
- 1.6.5. As fundamental components of accountability, every expense must have resulted from appropriate prior authorization and must be backed up with acceptable supporting documents.
- 1.6.6. Timeliness of financial reporting is essential. This depends on prompt returns from expenditure-centres.

2. SECTION TWO: AUTHORISATION OF TRANSACTIONS

The following gives guidance on approval limits of transactions at all times:

2.1. All expenditure should be done according to the approved budget. Any necessary expenses that are not be budgeted for can only be approved by the Board of Directors.

2.2. Commitment of expenditure and approval for extra ordinary expenses

2.3. All cheques should be authorized by at least two signatories.

3. CHAPTER THREE: BUDGETS

A Budget Sub-Committee will be set up.

3.1. THE BUDGETING PROCESS

3.1.1. The process of budgeting is a collective responsibility. The Finance Manager (or his delegate) serves as the technical advisor and the coordinator for the final production of the Draft Budget.

3.1.2. The Company's Budget is based on consolidation and harmonization of the separate budgets of the respective departments.

- *Four and a half months* before the commencement of the budget year i.e. by 15th August of every year, the Accounts Office shall issue a formal request to each of the departments and to submit its budget estimates.
- Each department unit shall submit to the Accounts Office its budget for each year, at least *three months* before commencement of the budget implementation period i.e. by 30th September every year.
- The Accounts Office will study the budget estimates received from the various Departments and compile them into the Master Budget Draft.
- Given that the Secretariat's finances and prevailing economic conditions may not meet the Departments' budget estimates, adjustments on the respective budget proposals may be required.
- The Master Budget Draft shall be presented to the Heads of Department for their comments not later than *two months* before the budget year i.e. by 31st October of every year
- The Master Budget Draft shall be presented to the General Manager for scrutiny no later than *one and a half months* before the budget year commences i.e. by 15th November every year.
- The General Manager will present the Master Draft Budget to the Board for approval and authorization by 31st December every year.

3.1.3. The following features must be reflected in each budget:

- Each budget should be supported by explanatory notes giving full details of how budget figures have been arrived at
- Each budget should be balanced and have a reasonable surplus.
- To ease the budget review and sound financial management, each budget should be broken down into monthly cash flows.

3.1.4. Upon the budget authorization, the Accounts Office will advice each department of the approved Master Budget in writing, drawing attention to their own particular portion of it and that they should ensure that they operate within the approved budget.

3.1.5. Once a budget is authorized revision can be done only if there are material external factors.

3.2. BUDGETARY CONTROLS

3.2.1. Monitoring of implementation of the budget is a collective responsibility, just like the preparation of the budget.

3.2.2. The Accounts Office shall provide each department with *monthly* financial reports with respect to their portion of the approved budget to enable them play their part in budget monitoring.

3.2.3. Over-expenditure is a practice to be avoided. It may translate to either waste, uncontrolled use of resources or poor budgeting.

4. SECTION FOUR: FINANCIAL AUDITS

4.1. INTERNAL AUDIT

The Finance Manager is responsible for the Internal Audit Functions.

4.1.1. The Internal Audit Reports go directly to the Chairman of Finance committee of the board with a copy to the Finance Manager.

4.1.2. In performing the role of the Internal Auditor of the company, the Internal Auditor has the duty and authority to:

- Carry out survey of cash and stores in any office of the company and to ensure that all the assets are well safeguarded
- Access any documents which he/she may consider necessary to examine with respect to information on cash, fixed assets or any financial decisions or financial transactions
- Ask for information or clarification or raise queries with any personnel of the company in any rank with respect to his/her observations.

4.1.3. It is mandatory that any Internal Audit correspondence, report, or query received from the Internal Auditor which requires a reply should be dealt with promptly and a reply furnished without delay. Where a final reply could not be given to each of the points raised, the reply should be made as quickly as possible giving information on those items that can be dealt with at once, and followed by the complete answers as soon as possible.

4.2. EXTERNAL AUDIT

4.2.1. It is the responsibility of the Board to appoint reputable external auditors preferable for a span of 3 years and during annual general meeting.

4.2.2. It is the responsibility of the Finance Manager in consultation with the Accountant to arrange with the appointed External Auditor when annual audits should be carried out.

4.2.3. The Finance Manager will ensure that:

- All audit schedules as required by the External Auditor are prepared in time
- Accurate and reliable financial statements are prepared
- The External Auditor receives information and explanations necessary for audit
- Corrective actions are taken, where applicable, regarding the Auditor's coming
- A Management Letter is served to the Management and that a reply to the letter will be prepared in time for discussion by the Management Team.

4.2.4. The Finance Manager will discuss the Management Letter in detail with the External Auditor and the Board and will ensure that corrective actions taken are communicated to the Auditor.

5. SECTION 5: CASH MANAGEMENT

5.1. PETTY CASH

5.1.1. The amount of float to be set up as petty cash fund is determined by the Accountant with the advice of the General Managerand will be managed by imprest system

5.1.2. Petty cash shall be kept by a cashier.

5.1.3. Petty cash shall be made for the purpose for which the fund was authorized and must be supported by receipts, which shall contain the following:

- Date of purchase or payment
- Name of vendor or other payee
- Positive evidence that a payment was made
- Amount paid
- Description of the expense
- Signature indicating receipt, of purchase or services.

5.1.4. Reimbursement of funds

Schedules prepared by cashier will be forwarded to the Accountant who will vouch and confirm expense allocations. On confirmation of vouchers, the petty cash fund will be replenished.

5.1.5. Physical Security

When not in use the funds must be kept in a securely locked place and subject to checking at any time.

6. SECTION SIX: MAINTENANCE OF ACCOUNTING RECORDS

6.1. COMPUTER BASED ACCOUNTING

Chipunga Farms Limited shall use computerised accounting system to meet both the greater accounting demands in full and also to supply all operations of the Company.

6.2. RECORDS

The Finance Manager shall ensure that proper accounting records are maintained to keep track of the company finances, fixed assets, and other financial transactions to enable preparation of the required reports.

6.3. REPORTS

6.3.1. The following reports must be maintained up to date by the Accounts Office at all times:

- Donor reports for projects
- Bank reconciliations
- Projected cash flow reports
- Profit and Loss accounts
- Balance sheet
- Cash flow statement

7. SECTION SEVEN: REVENUE PROCEDURES

7.1. INCOME

7.1.1. Any person not authorised to receive money for the Company should not receive money. Records and books of accounts in relation to receipts to be maintained includes:-

- Receipt books
- Bank deposits slips
- Register of cheques, money orders and postal orders
- Rent property statements of account
- Register.

7.1.2. A receipt must be issued for all sums received as income, including grants, rents, donations, 'performance bonus' for technical consultancy services – all sums received in whichever form, whether in cash, cheque, bankers cheque, money orders, postal orders etc.

7.1.3. If an error is made while preparing a receipt, the receipt must be cancelled by writing the word 'cancelled' across the face of the original and the copy.

7.1.4. For security reasons, receipt books whether partly or wholly used must be kept under lock and key by the Finance Manager.

7.1.5. Completed receipt books must be securely preserved for audit.

7.1.6. All receipts of monies whether in form of cash, cheque, telegraphic transfers, money orders or postal orders must be entered in the cashbook.

7.1.7. The money received, in whichever form, must be deposited with the bank within 24 hours.

7.1.8. When cash, cheque, money orders and postal orders are paid into the bank, a duplicate copy of the bank pay-in slip should be filed in the bank slips file for records and audit purpose.

8. SECTION EIGHT: EXPENDITURE ACCOUNTING

Chipunga Farms Limited shall seek the maximum utilisation of resources. Cost control is key to day-to-day operations, and is significant on the organization's running **life blood** – cash flow.

8.1. PAYMENTS

8.1.1. The fact that an item is listed in the approved budget does not imply automatic authorisation to incur expenditure on it. Each particular spending depends on availability of money at the particular time.

8.1.2. Heads of Department are responsible for the adherence to the programme budgets. The Head of Department is the primary expenditure-authorising officer in the Department.

8.1.3. On receiving an invoice from a supplier, the Accountant should prepare the payment voucher. Then the Head of Department must certify the payment voucher. The Head of Department will, in consequence, be held responsible to ensure that:

- The expense-item had been budgeted for;
- The services specified have been duly performed;
- The prices charged are either according to contracts or approved sales or are fairly reasonable according to the current local rates;
- The computations and costing have been verified and are authentically correct;
- Adequate funds are available for the vote-heads to which the payments are charged; and
- The payment is correctly allocated to the right vote-head.

8.1.4. Upon the approval of the payment voucher by the Head of Department, the Accountant will then present the payment voucher together with the supporting documents to the Finance Manager for authorisation.

8.1.5. Before issuing any cheque for the Finance Manager to sign, the Accountant should ensure that the out-going cheque is in order and that there is sufficient money in the bank to cover the amount specified.

NB: FOR PROCEDURES ON PURCHASES, PLEASE REFER TO PROCUREMENT MANUAL.

9. SECTION NINE: ASSETS

9.1. FIXED ASSET POLICIES

The total cost of a fixed asset is its purchase price as paid to the supplier, plus any directly attributable cost needed to make the asset functional at the facility. Directly attributable costs are costs of site preparation, delivery, installation costs and relevant professional fees.

9.2. METHODS OF DEPRECIATION

9.2.1. Straight-line method

This is the method of depreciation in which the cost of the item is spread evenly over the years of its useful life is preferred. The advantage of this method is that different years are affected similarly. This means that differences over the years in the cost of services are not caused by the depreciation method chosen. This method simplifies the allocation of the cost but it may not be realistic since usage of the asset may not be the same in different years.

9.2.2. Net book value (Reducing Balance Method)

The book value of a fixed asset is simply the purchase price minus the total depreciation (also called cumulative depreciation) of that asset over the years. At the end of the year, the organisation should determine the residual value of the asset and compare with the value that is in the books and adjust accordingly in order to comply with the International Accounting Standards (IAS 16).

9.3. FIXED ASSET REGISTER

9.3.1. The fixed asset register should contain the following:

- Type of asset;
- A detailed description of the item;
- A unique identification number assigned by the organization and marked on the asset itself, making it easier to track multiple similar items;
- The date the item was purchased or received;
- The date it was disposed of or taken out of service;
- Supplier information; name and address;
- Model numbers and serial numbers, if applicable;
- Location where the item is put into service: the office, the employee who has custody, etc.;
- Title or ownership: – if an item was received from or paid for by donors,
- Funding/donor source;
- Invoice no, cheque/pv no,
- Depreciation rate;
- Disposal details including date, sale price and buyers name, goods received note number,
- Net purchase price and expected net return value,
- Expected remaining life in years.

9.3.2. Tracking assets that are not capitalised

Some office furniture and equipment may not meet the organization‘s definition or thresholds for capital assets; items such as mobile telephones, office furniture, printers, and some computers may not be expensive enough to include in the fixed asset register. It is reasonable, however, to maintain a record of these items in some type of register to avoid giving the impression that they are not controlled, which might open the door to improper use or theft. For adequate management and control, details about the items, their location, and the staff member who has been entrusted with them should be documented.

9.4. PHYSICAL VERIFICATION

9.4.1. It is important to have the asset register verified at least once a year through a physical inventory. The inventory should be conducted by an independent source, not the person in charge of receiving the assets or updating the register.

9.4.2. The results of the verification should be compared with the asset register and any discrepancies investigated accordingly.

9.4.3. Apart from the fixed asset register, each room should also have a list of all the assets that are placed in the room.

9.4.4. This list should be displayed clearly on the door or any other visible place.

10. SECTION TEN: CONCLUSION

As mentioned before, the purpose of this Finance Manual is to provide Chipunga Farms Limited with direction and guidance in connection with those accounting transactions, procedures, and reports that should be uniform throughout the Company.